

9-2a Factors in Computing Depreciation Expense

The three factors that determine the depreciation expense for a fixed asset are as follows:

- The asset's initial cost
- The asset's expected useful life
- The asset's estimated residual value

The **initial cost** (The purchase price of an asset plus all costs to obtain and ready it for use.) of a fixed asset is the purchase price of the asset plus all costs to obtain and ready it for use. This initial cost is determined using the concepts discussed and illustrated earlier in this chapter.

The **expected useful life** (The estimated length of time an asset will be used in normal business operations.)

of a fixed asset is the estimated length of time the asset will be used in normal operations. It is estimated at the time the asset is placed into service. Estimates of expected useful lives are available from industry trade associations. The Internal Revenue Service also publishes guidelines for useful lives, which may be helpful for financial reporting purposes. However, it is not uncommon for different companies to use a different useful life for similar assets.

Link to McDonald's

McDonald's uses a useful life of up to 40 years for its buildings and from 3–12 years for its equipment.

The **residual value** (The estimated value of a fixed asset at the end of its useful life.) of a fixed asset is the estimated value of the asset at the end of its useful life. It is estimated at the time the asset is placed into service. Residual value is sometimes referred to as *scrap value*, *salvage value*, or *trade-in value*.

The difference between a fixed asset's initial cost and its residual value is called the asset's **depreciable cost** (The amount of an asset's cost that will be allocated to depreciation expense over its useful life, determined by the difference between the asset's initial cost and its residual value.)

. This is the asset's cost that is allocated over its useful life as depreciation expense. If a fixed asset has no residual value, then its entire cost should be allocated to depreciation.

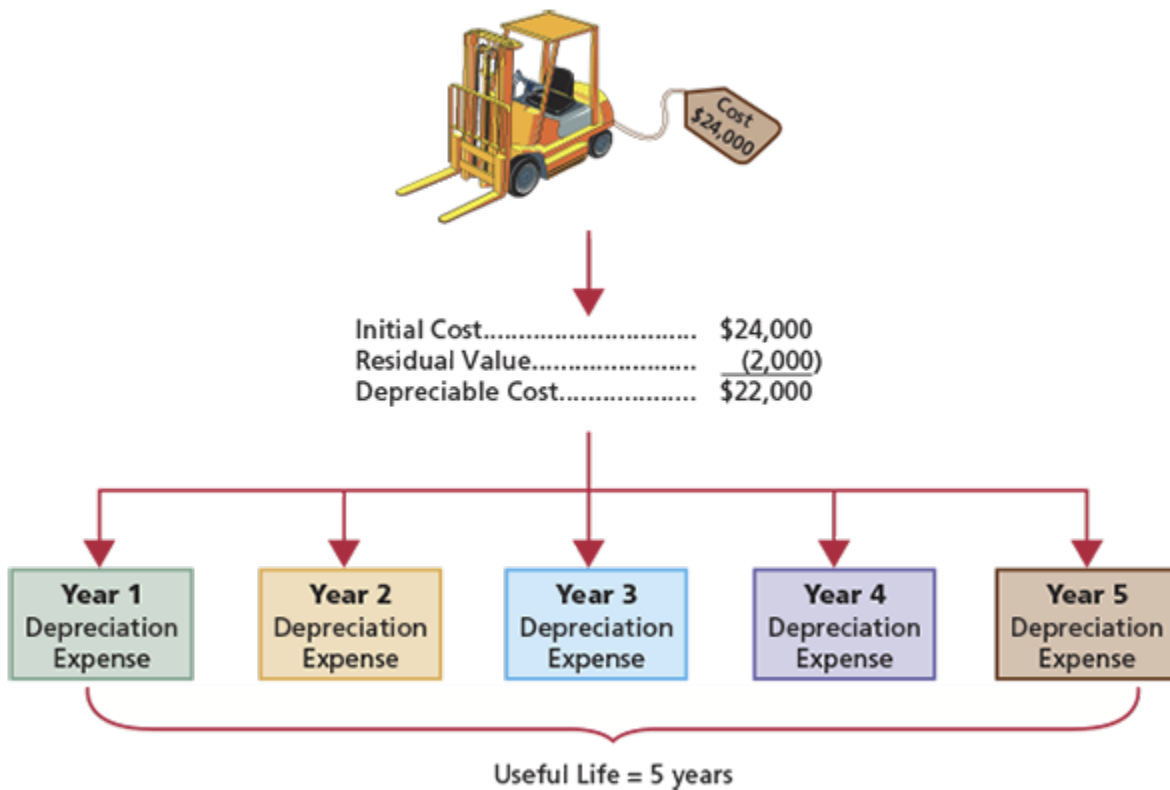
To illustrate depreciation methods, assume **Exeter Company** purchased a new forklift on January 1 as follows:

Initial cost	\$ 24,000
Expected useful life	5 years
Estimated residual value	\$ 2,000

Exhibit 3 shows the relationship between depreciation expense and the forklift's initial cost, expected useful life, and estimated residual value.

Exhibit 3

Depreciation Expense



The three depreciation methods used most often are as follows:

- Straight-line depreciation
- Units-of-activity depreciation
- Double-declining-balance depreciation

It is not necessary for a company to use only one method of computing depreciation for all of its fixed assets. For example, a company may use one method for depreciating equipment and another method for depreciating buildings.